

Deal Screening Checklist

25-Point Go / No-Go Framework — Commercial RE & Business Acquisitions

GATE 1 — HARD FILTERS (Fail any = Immediate No-Go)

- Business/property type is within your defined buy box
- EBITDA minimum threshold met (verified trailing, not broker-stated)
- Real estate anchors the downside (owned or long-term leased)
- No active litigation, environmental citation, or regulatory violation
- Ownership is clear — no partnership disputes or succession issues

GATE 2 — FINANCIAL EXTRACTION

- T-12 P&L; received and reviewed — not broker summary
- SDE calculated: Net Income + Owner Comp + Add-Backs + D&A;
- EBITDA calculated independently from line items
- All add-backs challenged: documented, recurring, and defensible
- Bank statement deposits reconcile to stated revenue (within 5%)
- Related-party transactions identified and normalized out
- Non-transferable revenue streams flagged and excluded

GATE 3 — VALUATION & CAPITAL STACK

- Implied multiple = Asking Price ÷ EBITDA (or SDE) — within market range
- Real estate valued separately on cap rate — not blended with business income
- Senior debt: 35-45% LTV against RE, or EBITDA-based commercial terms
- Senior DSCR $\geq 1.40x$ on business income alone (target) — 1.20x floor
- Deal survives -10% revenue stress without seller distributions covering debt

- Seller carry sized against capacity to service — not fixed return rate

GATE 4 — RED FLAG SCAN (Rate each: Low / Medium / High)

- Operator dependency: revenue tied to owner relationships or unlicensable skills
- Revenue concentration: >30% from single customer, contract, or location
- Transferability: key licenses, permits, and contracts assignable to new owner
- Deferred capex: aging equipment with near-term replacement cost
- Regulatory / environmental: no pending actions that survive a sale
- Lease security: RE lease term sufficient for acquisition thesis

GATE 5 — DECISION

✓ GO	All hard gates clear, DSCR $\geq 1.40x$, no high-severity red flags. Proceed to full DD: 3-yr P&L, tax returns, bank statements, equipment list, leases, contracts.
■ CONDITIONAL	Merit exists but one variable unresolved. Proceed to discovery call — do not commit capital until condition is confirmed.
✗ NO-GO	Any hard gate fails, red flags unresolvable, or operator-dependent with no succession path. Decline and move on.